Technical Articles Theme 14

Title: Growth of Entrepreneurial Firms and Globalization

Videos: 166-177

Topics Covered

166. Business growth Model (Part 1)
167. Greiner Growth model of business (Part 2)
168. Preparing for growth (part 1)
169. Preparing for growth through Acquisition and mergers (part 2)
170. Preparing for growth (part 3)
171. Issues and challenges of growing firms
172. How to close a venture?
173. Discussion: The link between entrepreneur's personality and firm growth pace & style
174. Globalization and entrepreneurship
175. Opportunities and challenges in the globalized world
176. Strategies for going global
177. The digital age and its issues

Entrepreneurship MGT602

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Handling Business Growth

It's important that an entrepreneur should not only be able to start the business but he should be able to handle the challenges of business growth. Some of the models and strategies commonly taught in entrepreneurship are following:

1.1. Business Growth Model (Part 1)

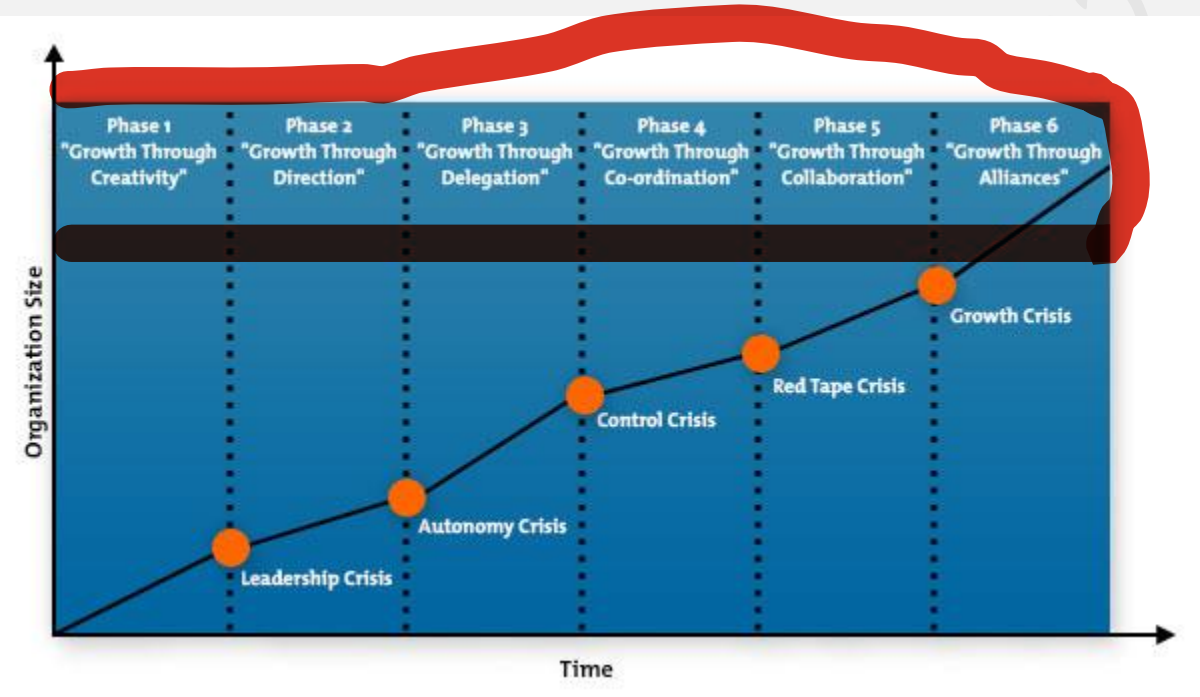
Once a business is started, it is important to understand the dynamics associated with the growth of a business. Therefore, understanding different business-growth models is also important for an entrepreneur. Such models and frameworks give a better thinking pattern to an entrepreneur. There are two famous models for the business growth. The first is "business growth model" that emphasizes existence, survival, success, growth/takeoff and resource maturity. The very first phase of the business growth model is existence in which the entrepreneur starts the process of acquiring and retaining the customers. Products and services are delivered and showcased to the new and existing customers. The next phase of the business growth model is survival. Young entrepreneurs often confuse this stage of survival with success. However, it is a stage between the existence and success of a business.

In the survival phase, the entrepreneur realizes that the business idea is workable for further progress of the business or not. At this stage, often, a slight increase in the product sales and revenue is observed for which the entrepreneur starts getting encouragement. Hence, often the business achieves a breakeven point at this stage or at least gets closer to it. The third stage is success at which the company becomes able to maintain good customers. Business starts having profit as its income exceeds the breakeven point. At this stage, the entrepreneur carefully needs to differentiate between the sales and the profit. Often, the entrepreneurs get excited that increased sale is a source of income and that might be confusing because it is necessary to exclude all expenditures from income to determine the actual profit of a venture. At this stage, the entrepreneur starts developing brand rapport. The business also becomes capable of facing the competition in the market at the success stage. The fourth phase after success is the take-off. At this stage, the entrepreneur starts thinking about the further growth of the business. The fifth stage of the business growth model is resource maturity. At this stage, the entrepreneur tries for better financial management, product and service diversification and hence all specialized activities are performed separately at this stage at the departmental level within the organizational unit. Research has shown that at this stage, the entrepreneur often starts compromising further growth and tends to maintain a steady stream of income.

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1.2. Greiner Growth model of business (Part 2)

This model was presented in the Harvard Business Review and presents the detail of potential challenges for entrepreneurs while having business growth. In this model, each growth phase is made up of a period of relatively stable growth, followed by a crisis. This model can be elaborated clearly through a graph which is given below.



This graph of the Greiner Growth model of business shows that over time, as the organizational size and business keeps growing, then a business has to face six phases and five challenges. As per this model, the business initially grows through creativity, then through proper direction, delegation, coordination, collaboration and alliances. However, each stage of such business growth is met with a crisis that a business has to deal with.

In this model, creativity is the very **first phase** of business growth. Cost reduction, existence and survival remain the focus of this phase. Usually, when an entrepreneur comes out of an incubation centre then he/she enters this phase of creativity. Usually, informal communication takes place at this stage between entrepreneurs and other stakeholders such as customers.

Phase 2 in this model is direction. You have to give proper direction to the people working with and under you. However, this stage also brings this crisis of leadership. A leader has to be able to work for the venture himself and has to provide an enabling environment to the people working under him.

Phase 3 is the delegation stage. In different functions, the entrepreneur has to delegate the work as he cannot perform every task himself. Leaders are often used to of keeping the work under their own supervision for every activity. Therefore, this stage of delegation comes with the crisis of autonomy. For example, the person dealing with sales should have the autonomy to provide a discount on product or service up to a certain limit etc. At this stage, employees also start demanding autonomy for their work.

Phase 4 of business growth is coordination. At this stage, businesses are often having significant growth. All the departments coordinate with each other under a defined hierarchy. However, in the coordination phase, an entrepreneur has to deal with the crisis of control.

Phase 5 in this business growth model is collaboration. At this stage business often has a significant growth with separate departments. Often rules and policies get so mature at this stage that they slow down the decision making. Such issues create red tape barriers in the organizations.

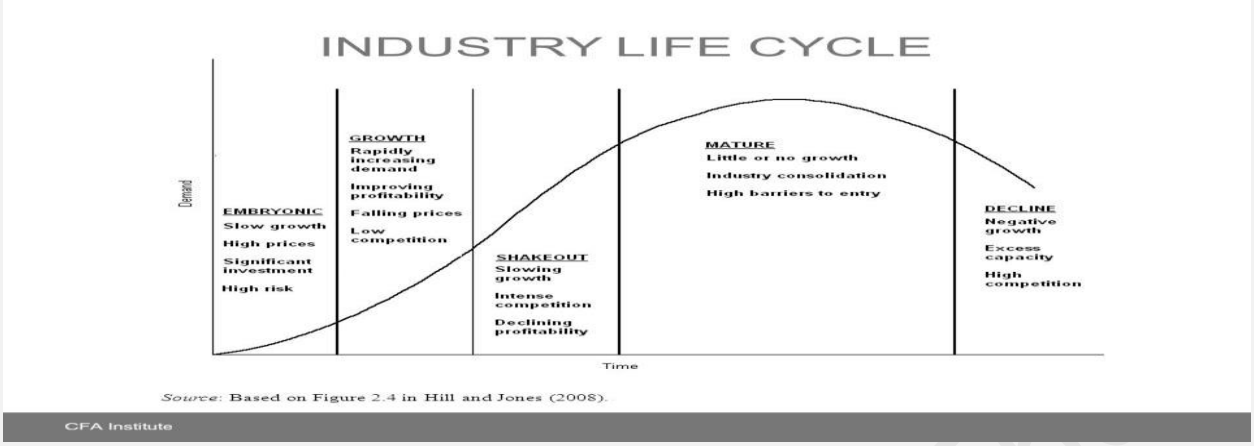
Phase 6 of this business growth model is growth through alliances. Sometimes, when a business reaches the stage of maturity and it is difficult for the business to grow on its own then alliances with other strategic partners are formed. But such alliances should be carefully made. Entrepreneurs often face such difficult crises in the business. It can be concluded that business growth is not easy. Entrepreneurs have to face a crisis in the business such as those related to marketing, finance or leadership. It is also important to maintain the structure of the business.

1.3. Preparing for growth (part 1)

For expanding the business, preparation is the key. Once the brand name establishes, then the business needs expansion. It is important to understand a few concepts concerning preparation for growth. The first concept is the industrial life cycle. The industrial life cycle refers to the gradual development of an industry through five common stages. Those five stages are:

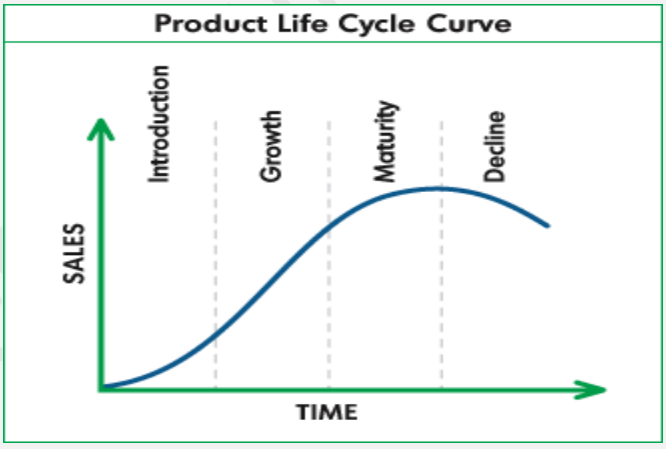
1. Introduction (Embryonic stage)
2. Growth
3. Shakeout
4. Maturity
5. Decline

Many industries evolve and then decline very soon. Like reel camera and Symbian phone technology market has declined now. Therefore, an entrepreneur should not enter an industry that is at the decline stage. Consumer demands also change from time to time.



IT revolution, environmental factors and machine revolution have also caused a decline in many industries. If an industry is at an evolution phase, then it is better to enter in that industry for a new business. After the initial phase, the growth phase starts. For example, if the online business was a success in the recent past then many new entrants came into it. Home-based banking is another example. At the maturity phase, the environment for a new entrant is very tough. An entrepreneur should not opt for an industry that is at the decline phase.

Then there is another concept which is the product life cycle as the products can also be categorized with respect to their life cycle stages. The stages of the product life cycle are 1. Introduction 2. Growth 3. Maturity 4. Decline.



For example, initially, the mobile phone was used only for making a call or SMS. Then, the simple mobile phone market nearly declined and smartphones entered the market initially with Symbian technology and then with the Android technology. Now, even more experiments are being conducted for even greater evolution in the smartphone industry, so that, they could hold their maturity stage. Companies try to sustain this stage through research and development. Initially, products consume greater expenses such as for advertisement. In America, companies often launch their products at the decline phase in another region or country where that product was not earlier available.

For business growth, different factors are the source of entrepreneurial resources. For example, entrepreneurial intuition, knowledge and information, brand/business identity, team, finance, technology, customers and network are the resources for an entrepreneur to have business growth. These resources, if utilized effectively then they help the business at different stages.

Preparing for growth through Acquisition and mergers (part 2)

As discussed earlier, for business growth, three decisions are very important which are given below:

1. Life cycle stage of the industry
2. Product life cycle stage
3. Available entrepreneurial resources

Other than those three factors, there are strategic measures for the growth of a business such as acquisition and merger. In small businesses, mergers and acquisitions are not that difficult but they are not easy in large businesses as many factors have to be kept in mind. In a merger, two companies combine their business and form one company that represents both entities. However, in the acquisition, one company takes over another company by purchasing it and the company that is acquired remains in the total control of the acquirer. The basis of merger and acquisition are often following:

1. Financial
2. Tender-based
3. Management team based
4. Product-based

There have been acquisitions in the recent past in the telecom and banking sector of Pakistan. In merger, there are a few types of it which are following:

1. ***Horizontal Merger:*** In this kind of merger, two businesses that are direct competitors having the same product line and market combine to form a new business.

2. ***Vertical Merger:*** In this kind of merger, a company merges with the supplier for a new business and for value addition in their product offering. For example, a supplier of a cone can merge with an ice cream producing company to provide cone ice cream units. Similarly, supplier of cotton yarn can combine the business with a textile company to establish their textile unit with a value addition and cost reduction for both the businesses.

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3. ***Congeneric Merger:*** In such mergers, two businesses that serve the same customer differently combine for a joint venture. For example, a TV manufacturer and a cable company can combine their business. Similarly, sometimes sellers of TV provide free subscriptions of Netflix for a month or two.

4. ***Market Extension Merger:*** In this merger, two businesses that are selling the same product in different markets share their markets. It is also called the market extension merger.

5. ***Product Extension Merger:*** In such a merger, two businesses selling different but related products are combined for a joint venture.

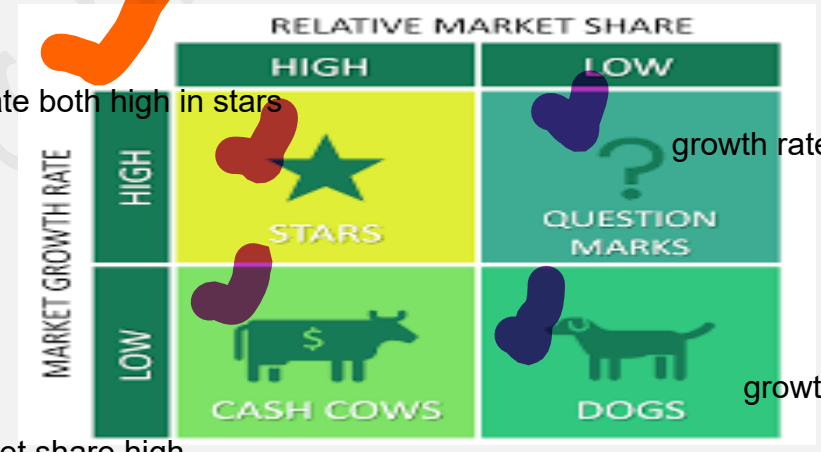
6. ***Conglomeration:*** In such a merger, two businesses that have different products, different market and different nature of business combine to form a new business. For example, in a furniture shop, the name of the product brand may of a bakery. That brand might be dealing in both of those two entirely different businesses.

1.1. Preparing for growth: Strategy tools (part 3)

For better understanding and decision making in business growth, two strategic tools are often used which are the following:

1. BCG Matrix
2. Ansoff Matrix

BCG matrix was developed by the Boston Consulting Group. It is also called as Growth-Share Matrix. This strategic tool can help an entrepreneur in deciding that in which product or market he/she has the best scope for the business growth. In the BCG matrix, one assesses how much is the market growth rate and the relative market share, i.e., the market share of the company.



growth rate and market rate both high in stars

growth rate high but market share low

growth rate,market share low

growth rate low and market share high

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At the Star phase, a company is often in a monopolistic type of situation in the market and generates a lot of revenue. Product is advertised more and the investor often needs more investment to maintain this position; however, the product often remains the market leader at this stage. Question Mark stage means that the product has a low market share but a high market growth rate. Hence, more investment in advertisement and marketing is needed to further penetrate and increase the market share. A Cash Cow stage means that the product has a high relative market share but low market growth. These products generate enough revenue and not much investment is needed for them. That's why, it is called Cash Cow stage. Dog category means neither growth nor market share for the product in the market. At this stage, the business of that product hardly meets even the breakeven point. If it is the one product business, then often business closure decision is taken while the product is in this Dog category. However, options such as product redesigning or change of market etc., might rejuvenate the product even at this stage. Hence, this tool helps a lot in the strategic decision making.

Ansoff matrix is also a very good tool for analysing product or market expansion. It was developed by Igor Ansoff and was published in 1957 in Harvard Business Review with the article title, "Strategies for Diversification". Even in the present era, this model is still very popular.



It explains different options of business expansion like market development, diversification, market penetration and product development etc. In market development, the same product is introduced in another market. It involves risk as well because a brand might not be successful in a new market. So, the risk factor remains moderate to high. In market penetration, product or market remains the same but increased marketing effort for growth is made to have a large market share in the same market. It involves low to moderate risk. The next choice may be product development which involves a little higher risk. You introduce a new product in the same market. In

diversification, a company introduces a new business often in another market. Hence, this tool gives all these options for better decision making.

1. **Globalization and entrepreneurship**

Globalization has connected people of the world in a way that never happened in the past. Communication channels have made the world a global village and it has reshaped the dynamics of businesses as well. A new entrepreneur also has to consider the factor of globalization and that how it can impact the new business in his/her domain. Globalization is the shared integration of resources in the world. Knowledge is now more accessible and cultural boundaries are shrinking. Free trade is taking place in many countries and people are more connected through shared culture and values. People of different countries also need the products and services of each other which globalization has made possible. There are different drivers of fast globalization and some of them are following:

1. ***Natural resource endowment:*** Sometimes, the natural resources of a country are also the source of competitive advantage for the people of that country. Michael Porter in his theory of "Competitive Advantage for Nations" suggested that every nation has a unique competitive advantage of its resources. Therefore, a nation would like to sell its natural resources to other nations for which globalization is a factor that has fostered this process. A single country cannot fulfil all its requirements and has to rely on other countries for its needs.

2. ***Improved transportation****:* Better means of transportation have also added an advantage compared to the past and it has facilitated the exchange of commodities across the world.

3. ***Technological breakthrough:*** Communication and connection have become easy. Emails, the internet, phones etc., have made this process very easy and increased the pace of globalization.

4. ***Free trade policies and international politics:*** Nations are developing their trade blocks for mutual international trade such as America, Canada and Mexico in the American continent have their trade agreement. In Asia, ASEAN and in Europe, EU etc., have increased the globalization process through mutual trade.

5. ***Skill and knowledge:*** Now nations are also categorized based on their skill and knowledge-based economy. Due to this, skilled people of a nation work in other countries for their jobs and hence culture of a nation is also transmitted from one country to another country. Values are also exchanged and hence, the globalization process gets the strength.

6. ***Growth strategies of the large corporation:*** Many large multinational companies (MNCs) working in different countries also play a role in the globalization process.

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Therefore, globalization also impacts the business of a new entrepreneur just like it impacts an established business. It also creates challenges for small and medium enterprises (SMEs). For example, the entry of Chinese products in Pakistan also decreases the business value of the local businesses. Similarly, the textile industry of Pakistan had a relatively bad impact due to globalization as the other regional competitors grabbed the bulk of market share in the international market. Therefore, an entrepreneur needs to observe the industry, capital requirement and other success factors before entering into a new business.

1.1. Opportunities and challenges in the globalized world

There are many challenges and opportunities for new businesses due to globalization. Global entrepreneurship is the process of business competition at the global level. Hence, understanding the culture and values of the other country is important for the entrepreneur if he/she is to sell the products there. The cultural, economic, legal and political forces of that country need to be understood for better compliance. The global entrepreneurs are more risk-takers and they have to adapt to the culture of the other country where their business is to operate. Some people think that globalization has increased opportunities as well problems for small businesses. New concepts of business are emerging along with globalization phenomenon. Some of the opportunities presented by globalization process for business are following:

1. ***Born-Global Firm:*** The concept of "born global firm" is emerging where "small firms launch their business in an international market right from the beginning of their business".

2. ***Service Outsourcing:*** Large firms want to reduce costs and they outsource services such as call centre services to the workforce of less developed countries. Therefore, a businessman in a developing or under-developed country can be a service provider for a large firm present in a developed country.

3. ***Offshoring:*** In this process, companies initiate their operations in other countries where the cost of business is less for hiring knowledge workers. For example, there is a trend for offshore businesses in the IT industry of many countries.

4. ***Information technology:*** Social media, and vlogging has become very popular and they are also the sources of globalization. Websites, blogs, online bookings etc., are strongly emerging now compared to the past.

5. ***Skill industry:*** Offshoring and outsourcing happen due to the skills of people of other countries.

However, along with the opportunities, there are also the challenges of globalization. Therefore, an entrepreneur has to understand both the opportunities and challenges of globalization. Some of them are given below:

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1. Culture, demographics and values
2. Legal system
3. Economic risk
4. International politics
5. Financial issues
6. Managerial and skill limitation
7. Quality standards
8. Product design
9. Operation alteration

1.2. Strategies for going global

Primarily, there are six strategies for going global with respect to a business which are following:

1. Exporting
2. Importing
3. Foreign licensing
4. International franchising
5. International strategic alliance
6. Cross-border acquisition

The easiest way of going global is to export a product or service to the international market. In exports, products and services of the home country are sold in another country where they are needed. For example, sports goods, surgical instruments, textile products etc., are exported from Pakistan. Another strategy for a global business is importing in which products of another country are sold to the customers of the home country. For example, many companies nowadays have online stores where they import products from China, Malaysia, Japan etc., and customers in Pakistan buy those goods online from them in Pakistan. This model of business by those online stores is import oriented. This model can be B2B and B2C as well. Foreign licensing is another option that needs a lot of legal consideration. In this process, an entrepreneur gets the license of selling a foreign company's product/services in their country. The one who buys the license of a foreign company is called the licensee and the one who sells that license is called the licensor.

Entrepreneurship MGT602

International franchising is another option in which franchise of a foreign company sells its products/services in the home country. For example, in the fast-food industry, franchises of many foreign companies are operating. An international strategic alliance is another option in which risk gets minimized as a local partner in the foreign country is found for joint collaboration. Both partners share the resources and foreigner plays the role of insider. Another option is cross-border acquisition in which a local company purchases the business of a foreign company. It involves the use of a large capital. All these options provide range of business choices for the entrepreneur in this globalized world.

2. **The digital age and its issues**

Globalization has brought the revolution of digitalization that has its opportunities and challenges as well. Many companies are born global companies with export orientation and they need the use of digital means of communication for worldwide customers. It has reduced cost of business but businesses have to be vigilant for it. E-commerce has become more popular due to the digitalization. It brings new opportunities for the firms. Now transportation and payment methods along with other facilities are available for international customers and hence, it has increased the customer base for businesses. For example, Daraz.pk, AliExpress, Bareeze.com are the Pakistan companies that have started an international business through their online presence. However, for born global businesses of digital nature, serious considerations are also required. Some of them are given below:

1. Privacy policy
2. Exchange policy
3. International policy
4. Payment policy and methods
5. Logistics
6. Order tracking
7. FAQs
8. Consumer-generated content

All these considerations need to be kept in mind before starting a digital business. However, there are also some issues and challenges of e-business, e-commerce and some of them are following:

1. Competition is brutal
2. It takes time to build a positive profile online
3. Government can ban/restrict the product
4. Generating online targeted traffic
5. Converting shoppers into paying customers

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6. Choosing the right technology and partners
7. Product display and content development

3. How to close a venture?

It is important to understand the closure strategy for a business as well. Sometimes, people even don't know about the closure of a business and find themselves in the risk of legal consequences. There are multiple options for business closure and a few commonly used options are following:

1. Complete closure
2. Selling of business
3. Declaration of bankruptcy for liquidation

One must have a file having the business dissolution documents. Brand registration and licenses must be cancelled in case the business is closed to avoid the legal consequences. Finances and debt must be cleared along with having record for all the payments that were made. All business accounts in the banks must be closed to avoid the issues such as money laundering allegations etc., at the later stages. Business conflicts must be resolved and entrepreneurs should announce in the market about business closure so that, no one else should use the brand name later on. Tax returns/sales returns must be paid. Creditors must be notified. Keep the files/documents of the business with you even after the business is closed for at least five years. Serial entrepreneurs should evaluate the value of financial and non-financial assets very well. An entrepreneur should know what to sell and what not. Sometimes, companies declare bankruptcy and announce the assets that are ready for liquidation. Evaluators of banks assess the value of the asset. Overall, the financial and legal aspects must be considered carefully before the business closure.

----------The End----------

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